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FUNDAMENTALS of ACCOUNTANCY BUSINESS AND MANAGEMENT I

Quarter 2 – Module 2: Business Transactions and Their Analysis as Applied to the Accounting Cycle of a Service Business - Adjusting Entries (ABM_FABM11- IVa-d -33)

ALTERNATIVE DELIVERY MODE
ADM
Schools Division of City of Meycauayan

Fundamentals of Accounting I– Senior High School
Alternative Delivery Mode
Quarter 2 – Module 2: Business Transactions and Their Analysis as Applied to the Accounting Cycle of a Service Business -Adjusting Entries ABM_FABM11- IVa-d -33
First Edition, 2020

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Senior High School

FUNDAMENTALS OF ACCOUNTANCY, BUSINESS AND MANAGEMENT I

Quarter 2 – Module 2:

Business Transactions and Their Analysis as Applied to the Accounting Cycle of a Service Business
-Adjusting Entries
(ABM_FABM11- IVa-d -33)

This instructional material was collaboratively developed and reviewed by educators of the Schools Division of City of Meycauayan particularly the Division Quality Assurance Team (DQAT), school heads, colleagues, and other stakeholders. We encourage teachers and other education stakeholders to email their feedback, comments, and recommendations to the Department of Education, Schools Division of City of Meycauayan at meycauayan.city@deped.gov.ph.

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Introductory Message

For the facilitator:

Welcome to the Fundamentals of Accounting I Alternative Delivery Mode (ADM) Module on Business Transactions and Their Analysis as Applied to the Accounting Cycle of a Service Business -Adjusting Entries- FABM11-Iva-d-33

This module was collaboratively designed, developed and reviewed by educators both from public and private institutions to assist you, the teacher or facilitator in helping the learners meet the standards set by the K to 12 Curriculum while overcoming their personal, social, and economic constraints in schooling.

This learning resource hopes to engage the learners into guided and independent learning activities at their own pace and time. Furthermore, this also aims to help learners acquire the needed 21st century skills while taking into consideration their needs and circumstances.

In addition to the material in the main text, you will also see this box in the body of the module:

Notes to the Teacher

This contains helpful tips or strategies that will help you in guiding the learners.

As a facilitator you are expected to orient the learners on how to use this module. You also need to keep track of the learners' progress while allowing them to manage their own learning. Furthermore, you are expected to encourage and assist the learners as they do the tasks included in the module.

For the learner:

Welcome to the Fundamentals of Accounting I Alternative Delivery Mode (ADM) Module on Business Transactions and Their Analysis as Applied to the Accounting Cycle of a Service Business -Adjusting Entries- FABM11-Iva-d-33

The hand is one of the most symbolized part of the human body. It is often used to depict skill, action, and purpose. Through our hands we may learn, create, and accomplish.

Hence, the hand in this learning resource signifies that you as a learner is capable and empowered to successfully achieve the relevant competencies and skills at your own pace and time. Your academic success lies in your own hands!

This module was designed to provide you with fun and meaningful opportunities for guided and independent learning at your own pace and time. You will be enabled to process the contents of the learning resource while being an active learner.

This module has the following parts and corresponding icons:

What I Need to Know	This will give you an idea of the skills or competencies you are expected to learn in the module.
What I Know	This part includes an activity that aims to check what you already know about the lesson to take. If you get all the answers correct (100%), you may decide to skip this module.
What's In	This is a brief drill or review to help you link the current lesson with the previous one.
What's New	In this portion, the new lesson will be introduced to you in various ways such as a story, a song, a poem, a problem opener, an activity or a situation.
What is It	This section provides a brief discussion of the lesson. This aims to help you discover and understand new concepts and skills.
What's More	This comprises activities for independent practice to solidify your understanding and skills of the topic. You may check the answers to the exercises using the Answer Key at the end of the module.
What I Have Learned	This includes questions or blank sentence/paragraph to be filled into process what you learned from the lesson.
What I Can Do	This section provides an activity which will help you transfer your new knowledge or skill into real life situations or concerns.
Assessment	This is a task which aims to evaluate your level of mastery in achieving the learning competency.
Additional Activities	In this portion, another activity will be given to you to enrich your knowledge or skill of the lesson learned. This also tends retention of learned concepts.
Answer Key	This contains answers to all activities in the module.

At the end of this module you will also find:

References This is a list of all sources used in developing this module.

The following are some reminders in using this module:

1. Use the module with care. Do not put unnecessary mark/s on any part of the module. Use a separate sheet of paper in answering the exercises.
2. Do not forget to answer What I Know before moving on to the other activities included in the module.
3. Read the instruction carefully before doing each task.
4. Observe honesty and integrity in doing the tasks and checking your answers.
5. Finish the task at hand before proceeding to the next.
6. Return this module to your teacher/facilitator once you are through with it.

If you encounter any difficulty in answering the tasks in this module, do not hesitate to consult your teacher or facilitator. Always bear in mind that you are not alone.

We hope that through this material, you will experience meaningful learning and gain deep understanding of the relevant competencies. You can do it!

What I Need to Know

This module was designed and written with you in mind. It is here to help you master the accounting cycle – adjusting entries. The scope of this module permits it to be used in many different learning situations. The language used recognizes the diverse vocabulary level of students. The lessons are arranged to follow the standard sequence of the course. But the order in which you read them can be changed to correspond with the textbook you are now using.

The module is divided into three lessons, namely:

• Lesson 1 – Business Transactions and Their Analysis as Applied to the Accounting Cycle of a Service Business -Adjusting Entries

After going through this module, you are expected to:

1. recognize the account that should be adjusted at the end of accounting period

2. classify what are the different method used to adjust an account.

3. realize the purpose of adjusting entries in preparation of financial statement

4. prepare adjusting entries- ABM_FABM11- IVa-d -33-IV

What I Know

Activity I: Find and write at least (5) accounting terms in the puzzle. Define each word based on your idea and understanding. Write your answer on a whole sheet of paper.

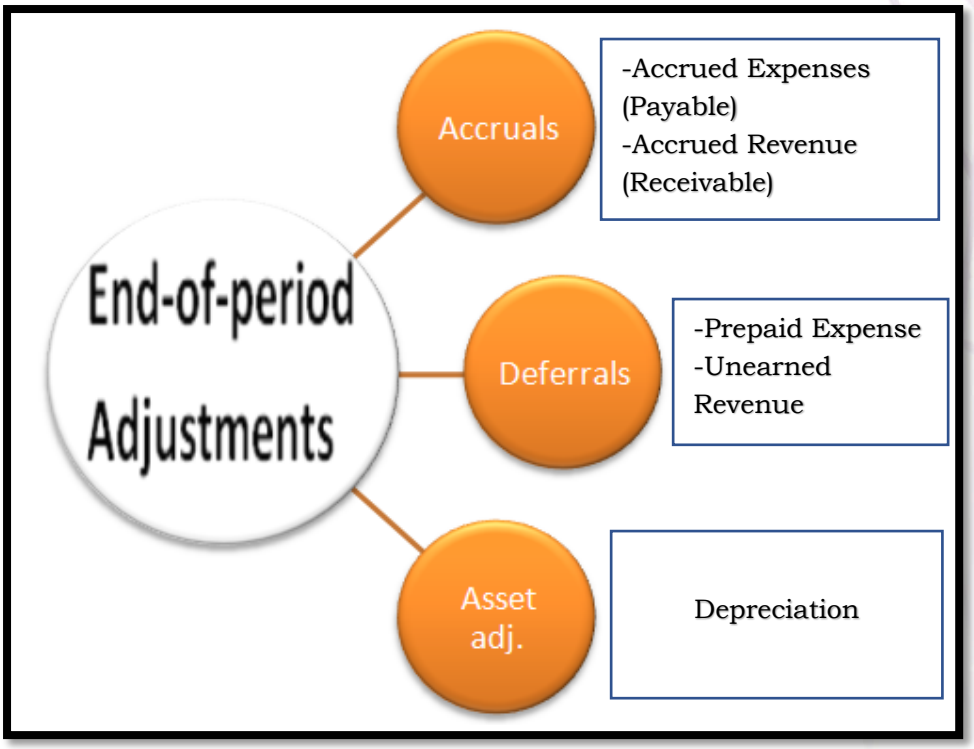
S	A	I	A	C	C	R	U	A	L	B	A	S	I	S	C	I	A	G	S	F	D	C	L
U	D	N	P	A	Y	A	B	L	E	S	A	B	C	A	C	U	N	A	T	A	D	O	I
P	J	T	A	C	C	R	U	E	D	E	X	P	E	N	A	N	A	A	O	C	F	N	A
P	U	E	B	A	L	A	N	C	E	S	H	E	E	T	S	E	O	P	R	G	E	T	B
L	S	R	R	E	N	T	E	X	P	E	N	S	E	I	H	A	S	S	E	T	R	R	I
I	T	E	C	O	M	M	I	S	S	I	O	N	I	W	B	R	U	C	Q	O	R	A	L
E	I	S	M	A	T	C	H	I	N	G	L	W	O	R	A	N	M	C	A	T	R	A	I
S	N	T	S	A	R	I	S	A	R	I	D	I	C	E	S	E	M	Y	O	C	A	S	T
B	G	D	E	E	P	W	U	Q	P	P	R	E	P	A	I	D	O	C	O	O	L	S	Y
D	E	F	E	R	R	E	D	R	E	V	E	N	U	E	S	R	K	L	O	S	S	E	S
S	N	H	F	I	N	A	N	C	I	A	L	S	T	A	T	E	M	E	N	T	S	T	A
T	T	I	F	I	T	S	A	C	C	R	U	E	D	R	E	V	E	N	U	E	I	R	N
Z	R	G	G	A	I	N	X	D	E	F	E	R	R	E	D	E	X	P	E	N	S	E	Q
X	Y	H	I	R	E	R	E	C	O	G	N	I	T	I	O	N	C	R	O	O	K	B	V
Y	P	H	R	E	C	E	I	V	A	B	L	E	S	D	W	U	B	I	L	L	I	N	G
Z	I	P	D	E	P	R	E	C	I	A	T	I	O	N	D	E	C	Q	M	E	C	Q	T
I	N	C	O	M	E	S	T	A	T	E	M	E	N	T	O	P	E	R	I	O	D	L	R

Lesson 1 Business Transactions and Their Analysis as Applied to the Accounting Cycle of a Service Business -Adjusting Entries

Accounting cycle is a series of sequential steps and procedures performed to accomplish the accounting process. The accounting cycle is a continuous process and repeated every accounting period, (Ballada,2019). During the accounting period, we identify events in the business with monetary value and record it in the journal. Classify the transferred data from the journal and post it to another book called ledger. To verify, the equality of debit and credits in the ledger we prepare the trial balance. On this module the discussion will highlights the process that we take at the end of the accounting period and its significance in reporting a correct and objective financial statement.

What's In

The objective of preparing the adjusting entries is to facilitate the correct information in preparation of the financial statement. Its characteristics involved one balance sheet account and one income statement account.



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What's New

Activity 2: DECODE

Using letter code box given below, Decode the numbers to form an adjusting entry concept introduced in this module. Write the answer on your notebook.

Let us Decode the Concept!	
Hint: a) Income is recognized only when earned regardless when cash is received while expense is recognized when incurred regardless when cash is paid.	1 3 3 18 21 1 12 ☐ 2 1 19 9 19
Hint: b) Income is recognized only upon receipt of cash while expense is recognized only upon payment of cash.	3 1 19 8 ☐ 2 1 19 9 19
Hint: c) Postponement of recognition of an expense already paid but not yet incurred or of a revenue already collected but not yet earned.	4 5 6 5 18 18 1 12
Hint: d) Expenses paid in advance.	16 18 5 16 1 9 4 ☐ 5 24 16 5 14 19 5
Hint: e) Received cash for services or goods even before service is rendered or goods are delivered.	21 14 5 1 18 14 5 4 ☐ 18 5 22 5 14 21 5
Hint: f) Reduction of economic value of an asset.	4 5 16 18 5 3 9 1 20 9 15 14

CODE BOX		
1- A	11- K	21- U
2- B	12- L	22- V
3- C	13- M	23- W
4- D	14- N	24- X
5- E	15- O	25- Y
6- F	16- P	26- Z
7- G	17- Q	
8- H	18- R	
9- I	19- S	
10- J	20- T	

What is it

There are two basis of accounting assumption commonly used in an entity. **Accrual basis and Cash basis**. A financial statement except for Statement of cash flow should be prepared and reported on **accrual basis assumption**, an accounting recognition basis, in accordance with the **Generally Accepted Accounting Principles (GAAP)**. It is a recognition of revenue in the period when earned and recognition of expense in the period when incurred. While in **cash basis of accounting**, an income only recognized upon receipt of cash and expense is recognized only upon payment of cash. **Cash basis is used in Micro businesses like Sari-Sari store**. (Palma, 2014).

Basis of Accounting Recognition	Accrual Basis	Cash Basis
Revenue is recognized in the period	When earned	When received
Expenses is recognized	When incurred	When paid

Types of Adjustment Account: Accrued Account:

Accrual is the recognition of **expenses already incurred but not yet paid and income earned but uncollected**. It adjust the unrecorded amount in any account. **In effect it increases both a balance sheet and income statement account.**

Two cases of Accrual Recognition :

Accrued Expense an adjusting entry that record **expenses already incurred but not yet paid. (e.g. Utilities expenses such as electricity, water consumption and telephone bill, salaries payable and interest payable). Accrued expense** has the same meaning with **payables**.

Problem:

Mr. Matipid is renting a small commercial building in Meycauyan, Bulacan for ₱ 3,000 a month. Mr. Matipid failed to pay his two months rental from November to December 2019. Prepare an adjusting entry as of December 31, 2019.

Rent Expense (Debit) ---------- ₱ 6,000

Rent Payable (Credit) ---------- ₱ 6,000

To record the two months' unpaid rental fee of Mr. Matipid.

Accrued Income, an adjusting entry that record **income or revenue already earned but not yet received or collected (e.g. interest receivable, commission, rent income, etc.). Accrued Income** has the same meaning with receivables.

Problem:

Mr. Matipid is an owner of residential apartment in Meycauyan,Bulacan, for ₱5000 a month. One of his tenants,Mr. Waldas failed to pay his two months rentals from November to December 2019.Prepare an adjusting entry as of December 31,2019.

Rent Receivable (debit) ---------- ₱ 10,000
Rent Income (credit)---------- ₱ 10,000
To record two months' rent receivable from Mr. Waldas.

Types of Adjustment Account: Deferred Account

Types of Adjustment Account: Deferred Account

Deferral is the **postponement of recognition of an expense** already **paid but not yet incurred** or a **revenue already collected but not yet earned**, (Ballada, 2019). This adjustment deals with an amount who already have an **initial record** in a balance sheet account. The effect of this adjustment is a **decrease in balance sheet and increase in an income statement account.**

Deferral Recognition:

Prepaid Expense is an expense **paid in advance**. These expenditures **(e.g. supplies, rent and insurance)** are called prepaid expenses. (Ballada,2019). At the end of the accounting period, the **used portion of the pre-payment is recognized as an expense** and the **unused part remains an asset**. Business entity can used either of the **two method** in recording the deferral accounts. **a deferral requires an initial entry referring to transactions of pre-payment .**

Two Methods Recording Deferrals

Problem:

Bulacan Jewels found one of the commercial spaces for rent in Ema Town Center, but before they can occupy the place, they must pay a six (6) month advance rentals amounting to ₱ 60,000. Bulacan Jewel paid a six (6) month advance rentals for the period September 2019 to February 2020 and started occupying the space on September 1, 2019. Its accounting period ends on December 31,2019. Prepare an adjusting entry using the two methods of recording prepaid rent expense.

Initial Entry:

Prepaid Rent Expense (Debit) ---------- ₱ 60,000

Cash (Credit) ---------- ₱ 60,000

Payment for six -month advance rental of Bulacan Jewel September 2019- February

To use the **Asset Method**, the amount to compute and recognize is the **expense or the used portion of the pre-payment.**

- ₱ 60,000 /6 months = ₱ 10,000 (Monthly Payment)
- ₱ 10,000 x 4 months =₱ 40,000

The used portion of the prepayment is from September 1,2019 up to December 31,2019.

Asset Method Adjusting Entry:

Rent Expense (Debit) ---------- ₱ 40,000
Prepaid Rent Expense (Credit) ---------- ₱ 40,000
To record the used (expense) portion of Bulacan Jewels prepaid rent .

To use the **Expense Method**, the amount to compute and recognize is the **unused part or the asset portion of the pre-payment.**

- ₱ 60,000 /6 months = ₱ 10,000 (Monthly Payment)
- ₱ 10,000 x 2 months = ₱ 20,000

The unused part or asset portion of the pre-payment is from January to February 2020.

Expense Method Adjusting Entry:

Prepaid Rent (Debit) ---------- ₱ 20,000
Rent Expense (Credit) ---------- ₱ 20,000
To record the unused (asset) portion of Bulacan Jewels prepaid rent.

Asset Adjustment, Depreciation Property Equipment and Furnitures

Depreciation expense is the part of the value of depreciable asset becomes an expense due to wear and tear or due to the reduction of economic value of that asset. It is a deductible item in the income tax return of a taxpayer, so it is important to prepare an adjusting entry, (Palma, 2014). The asset account is **not directly reduced** when recording

depreciation expense, instead the **reduction is recorded in a contra asset account called accumulated depreciation** (Ballada, 2019). The simplest procedure of computing the estimation of depreciation is called the **straight-line method.**

Asset Cost	₱ **xx**
Less: Estimated Salvage Value	**xx**
Depreciable cost	**xx**
Divide by: Estimated useful life	**xx**
Depreciation Expense for each period	**xx**

Problem:

Sinag Co, acquired an office equipment for ₱ 22,000 on May 1, 2019. It has an estimated useful life of 10 years. The salvage value will be ₱ 4,000. Prepare an adjusting entry for depreciation expense as of December 31, 2019.

Sinag Co Office Equipment Depreciation Computation	
Asset Cost	₱ 22,000
Less: Estimated Salvage Value	4,000
Depreciable Cost	₱ **18,000**
Divide by: Estimated Useful Life	10 yrs.
Annual Depreciation Cost	₱ **1,800**
Depreciable cost as of May 2019 to December 2019 (8mos/12mos)	**2/3**
Depreciation Expense as of December 31, 2019	**PHP** ₱ **1,200**

Depreciation Adjusting Entry:

Depreciation Expense – Office Equipment (Debit) -------- ₱ 1,200
Accumulated Depreciation – Office Equipment (Credit) ---------- ₱ 1,200
To record the depreciation expense of equipment.

Unearned Revenue

Unearned Revenue/ Income is an income **collected in advance though not yet earned.** Upon collection, it is **still considered as a current liability** and eventually a **portion become an income when product has been delivered or service has been rendered.** Unlike accruals, **a deferral requires an initial entry referring to transactions of advance collection of the income.**

Two methods of recording Unearned Revenue

Problem:

On November 1, 2019, `Dina Matinag is an owner of a commercial building in Sto. Niño, Meycauayan City, received a ₱120,000 check from Mely Malinis for six-month rent paid in advance. Prepare an adjusting entry of Dina Matinag as of December 30, 2019.

Initial Entry:

Cash (Debit) ₱ 120,000
Unearned Rent Revenue (Credit) ₱ 120,000
To record six-month advance collection of rent from Mely Malinis.

To use the **Liability Method**, the amount to be computed and recognized is the **income portion of the advance collection of revenue.**

- ₱ 120,000 / 6 months = ₱ 20,000 monthly
- ₱ 20,000 x 2 months' = ₱ 40,000

The income portion (earned) of the advance collection is from November to December of 2019.

Liability Method Adjusting Entries

Unearned Revenue (Debit) ---------- ₱ 40,000
Rent Revenue (Credit) ---------- ₱ 40,000
To record the two- month **income portion** of the advance collection from Mely Malinis.

To use the **Income Method**, the amount to compute and recognize is the **liability portion of the advance collection of revenue.**

- Rent Advance Payment-₱ 120,000/ 6 months = ₱ 20,000 Monthly
- Payment ₱ 20,000 x 4 months =₱ 80,000

The liability portion (unearned) of the advance collection is from January to April 2020.

Income Method Adjusting Entries

Rent Revenue (Debit) ---------- ₱ 80,000
Unearned Revenue (Credit) ---------- ₱ 80,000
To record the four-month **liability portion** of the advance collection from Mely Malinis.

What's More

Activity 3: Analogy

Choose the letter that has the same concept and relationship to the given pair . Write your answer on a whole sheet of paper.

Analogy
1. Equipment: Depreciation Expense **::** **Call and text load wallet :** _____ a. Prepaid Expense b. Accrued Revenue c. Communication d. Expense
2**. Financial Statement :**_____ **::** Sari-Sari Store: Cash Basis a. Deferral Account b. Accrual Account c. Accrual Basis d. Accrued Expense
3. Interest Payable: Accrued Expense **::** **Interest Receivable:** _____ a. Accrued Revenue b. Accrual account c. Accrual basis d. Accrued expense
4. **Liability Method:** _____ **::** Asset Method: Report expense portion a. Report the cash b. Report income portion c. Report liability b d. Report Debt
5. Expense Method: Asset portion **::** **Income Method:** _____ a. Report cash b. income portion c. liability portion d. Debt portion
6.**Debit Supplies,Credit Supplies Expense:**_____ **::** Debit Cash, Credit Unearned Revenue: Initial Entry a.Income Method b. Asset Method c. liability Method d. Expense Method
7.Debit Unearned Revenue ,Credit Rent Revenue: Liability Method **::** **Debit Rent Revenue,Credit Unearned Revenue:**_____ a. Income Method b. Asset Method c. Initial Entry d. Expense Method
8. **Debit Depreciation Expense: Credit** _____ **::** Debit Supplies Expense :Credit Supplies a. Accumulated Depreciation b. Debt c. Accrued Income d. Accounts Receivable
9. Unearned Revenue: Income Collected in Advance**, Prepaid Expense:** _____ a. Not yet earned b. Expenses paid in advance c. Debt not Received d. Not yet paid
10.**Debit Depreciation Expense, Credit Accumulated Depreciation :** _____ **::** Debit Insurance Expense, Credit Insurance: Deferred Expense a. Income Method b. Expense Method c. Initial Entry d. Depreciation

What I have learned

Activity 4: Complete the Summary of Matrix of Adjusting Entries. Write your answer on a whole sheet of paper.

TYPES OF ADJUSTMENT	ACCOUNT BALANCES BEFORE ADJUSTMENT		ADJUSTING ENTRY	
	Balance Sheet Account	**Income Statement Account**	**Account Debited**	**Account Credited**
Prepaid Expenses: **Asset Method**	Asset Overstated	b._____	Expense	d._____
Expense Method	a._____	Expenses Overstated	c._____	e._____
Depreciation	Asset Overstated	**f.**_____	Depreciation Expense	g._____
Unearned Revenues: **Liability Method**	Liabilities Overstated	Income Understated	Unearned Revenue	**j.**_____
Income Method	**h.**_____	**i.**_____	Revenue	**k**_____
Accrued Expenses	**l.**_____	Expenses Understated	**m.**_____	**n.**_____
Accrued Revenue	Asset Understated	Income Understated	**o.**_____	**p.**_____

Activity 5: The following adjusting entry concepts is FALSE. Modify the phrase or words to correct the concept.

1. The adjusting entries are made at the start of the accounting period.

2. Electric bills and salaries are examples of deferred payment.

3. An accountant can use the income method when you want to report in the financial statement the expense portion of the advance revenue collection.

4. Accrued expenses already paid but not yet incurred.

5. The nature of an account unearned revenue is revenue while a prepaid expense is an expense.

What can I do

Activity 6: BOOKKEEPER ADJUST!

Presented below, is the unadjusted trial balance of Time and Travel Agency of Charmaine Tumangan, for the year ended December 31,2019. To ensure all the data in the financial statement is reported accordingly. You are required to prepare an adjusting entry from the information given. Write your answer on a 12 -column worksheet.

TIME TRAVEL AGENCY		
UNADJUSTED TRIAL BALANCE		
DECEMBER 31,2019		
Particulars	Debit	Credit
110 Cash	₱ 126,000	
120 Accounts Receivable	645,000	
130 Prepaid Rent	360,000	
140 Office Supplies	63,000	
150 Furniture	2,175,000	
155 Accumulated Depreciation		₱ 435,000
210 Notes Payable		900,000
220 Accounts Payable		285,000
230 Salaries Payable		
240 Interest Payable		
310 Tumangan, Capital		1,680,000
320 Tumangan, Withdrawals	1,200,000	
410 Travel Revenues		5,133,000
510 Salaries Expense	3,771,000	
520 Rent Expense		
530 Office Supplies Expense		
540 Depreciation Expense		
550 Interest Expense		
560 Miscellaneous Expense	93,000	
Totals	**₱ 8,433,000**	**₱ 8,433,000**

Information pertaining to Time Travel Agency account is as follows:

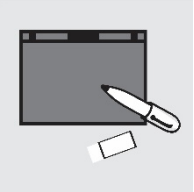
a) On November 1, 2019, Time Travel paid Carmelita Atienza Realty ₱ 360,000 for six (6) months' rent on the office building starting that date. Use asset and expense method to present your answer.

b) Office supplies on hand on December 31, 2019 amounted to ₱27,000. Use asset and expense method to present your answer.

c) Depreciation expense for furniture amounted to PHP 75,000 for the year.

d) On December 31, 2019, ₱105,000 salaries have accrued.

e) The ₱900,000 note payable was issued on October 1, 2019. It will be repaid in 12 months together with interest at an annual rate of 24%.



Assessment

Assessment 1: Choose the letter of the correct answer. Write your answer on a whole sheet of paper.

1. Which of the following is an example of an adjusting entry?
   a. Recording the purchase of supplies on account.
   b. Recording acquisition of asset.
   c. Recording the billing of customers.
   d. Recording the payment of wages to employees on next payroll.

2. The ending balance of the account receivable was ₱120,000. Services billed to customers for the period were ₱ 215000 and collection on account from customers were ₱ 236,000. What was the beginning balance of Accounts Receivable?

a.	₱ 335,000	c.	₱ 99,000
b.	₱ 141,000	d.	₱ 33,000

3. On Jan. 2019, a ₱ 140,000 check was paid for rental expense of fourteen months. The amount was recorded in the rent expense account. How much is the rent expense incurred for the year ended Dec. 31, 2019?

a.	₱ 10,000	c.	₱ 120,000
b.	₱ 20,000	d.	₱ 140,000

4. On Nov. 2018, five months of insurance amounting to ₱ 125,000 were paid for the period from Nov. 1, 2018 to March 31, 2019. The amount was debited to the insurance expense account. How much was the insurance expense incurred for the year ended Dec. 31, 2018 if there was no balance in the insurance expense account?

a.	₱ 25,000	c.	₱ 75,000
b.	₱ 50,000	d.	₱ 125,000

5. For the year ended Mar 31, 2019, a business that offers yoga lessons received ₱ 14,000 in yoga fees, which was recorded in the yoga fee revenue account. The amount included ₱ 3,500 for April 2019 lesson. Assuming there are no other transactions relating to yoga fee revenue during financial year, how much is the yoga fee earned for the year ended March 31, 2019?

a.	₱ 3,500	c.	₱ 14,000
b.	₱ 10,500	d.	₱ 17,500

6. Tumangan Accounting firm starts its operation on January 2,2019 with ₱ 1,000 worth of office supplies. During the year, the firm acquired additional office supplies worth ₱ 5,000, per physical count. As per record the office supply still has an unused office supplies worth₱ 2,000. How much is the office supplies that were used?

a. ₱ 1,000
b. ₱ 4,000
c. ₱ 5,000
d. ₱ 3,000

7. Refer to # 6 problem. Prepare the journal entry using the asset method.

a. Dr. Office Supplies Expense ₱ 2,000 Cr. Office Supplies₱ 2,000
b. Dr. Office Supplies Expense ₱ 2,000 Cr. Office Supplies ₱ 2,000
c. Dr. Office Supplies ₱ 4,000 Cr. Office Supplies Expense ₱ 4,000
d. Dr. Office Supplies Expense ₱ 4,000 Cr. Office Supplies ₱ 4,000

8. Refer to # 6 problem. Prepare the journal entry using the expense method.

a. Dr. Office Supplies ₱ 4000 Cr. Office Supplies Expense ₱ 4,000
b. Dr. Office Supplies Expense ₱ 4,000 Cr. Office Supplies ₱ 4,000
c. Dr. Office Supplies Expense ₱ 2,000 Cr. Office Supplies ₱ 2,000
d. Dr. Office Supplies ₱ 2,000 Cr. Office Supplies Expense ₱ 2,000

9. An amount of ₱ 235,000 was received in 2019 and recorded in the commission income account. It was discovered that an additional commission income of ₱ 47,000 was not received yet as of Dec. 31,2019. How much is the commission income as of December 31,2019 after adjusting the records?

a. ₱ 47,000
b. ₱ 188,000
c. ₱ 235,000
d. ₱ 282,000

10. Which of the following is not an application of accrual basis accounting?

a. Adjusting the account
b. Applying cash basis of accounting
c. Applying matching rule
d. Recognizing revenues when earned and expenses when incurred

11. It is a journal entry to record an accrued expense result in which of the following types of accounts being debited and credited.

a. Asset and income
b. Asset and liability
c. Expense and Asset
d. Expense and liability

12. Which of the following accounts would probably need to be adjusted at year end?

a. Land

b. Notes Payable

c. Supplies

d. Withdrawal

13. An initial entry to record deferral or prepayment for rental.

a. Debit Prepaid Rent Expense, Credit Rent Expense

b. Debit Rent Expense, Credit Cash

c. Debit Prepaid Rent Expense, Credit Cash

d. Debit Rent Expense, Credit Prepaid Rent Expense

14. Which of the following is considered as the purpose of recording the adjustment of depreciation of equipment?

a. Depreciation is used to help us decide for financing non-current asset.

b. Depreciation is used for deduction of entities income tax return.

c. Depreciation can help the owners decide for selling fixed asset at cost.

d. Depreciation has an impact of overstating the expense account of an income statement.

15. Failure to adjust the accrued salaries at the end of the period will result in

a. Overstatement of asset and expense.

b. Overstatement of liabilities and Understatement of profit.

c. Overstatement of profit and overstatement of liabilities for the period.

d. No effect.

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Additional Activities

Activities 7: Matching Type

Below are terms pertinent to adjusting entries. Match each definition with its related term. There are two answers for each term. Write your answer on your columnar notebook.

TERMS	**Definition**
1. Accrued Expense 2. Deferred Expense 3. Accrued Revenue 4. Deferred Revenue	a. Revenue Not yet earned, collected in advance. b. Office Supplies on hand, used next accounting period. c. Rent revenue collected, not yet earned. d. Rent not yet collected, already earned. e. An expense incurred not yet paid or recorded. f. Revenue earned, not yet collected. g. An expense not yet incurred, paid in advance. h. Property Taxes incurred, not yet paid.

TERMS	Definition
1. Deferred Revenue 2. Accrued Revenue 3. Deferred Expense 4. Accrued Expense	a. At the end of the year, salaries payable of ₱ 3,600 had not been recorded or paid. b. Supplies for office use were purchased during the year for ₱ 500 and ₱ 100 of the office supplies remained on hand (unused) at year-end. c. Interest of ₱ 250 on a note receivable was earned at year-end, although collection of the interest is not due until the following year. d. At the end of the year, service revenues ₱2,000 were collected in cash but was not yet earned.

Adapted from Basic Financial Accounting and Reporting Made Easy pp. 4-27 by Win Ballada,CPA

Answer Key

Activity 4: Summary Matrix

TYPES OF ADJUSTMENT	ACCOUNT BALANCES BEFORE ADJUSTMENT		ADJUSTING ENTRY	
	Balance Sheet Account	**Income Statement Account**	**Account Debited**	**Account Credited**
Prepaid Expenses: **Asset Method**	Asset Overstated	b. **Expenses Understated**	Expense	d. **Prepaid Expense**
Expense Method	a. **Asset Understated**	Expenses Overstated	c. **Prepaid Expense**	e. **Expense**
Depreciation	Asset Overstated	**f. Expenses Understated**	Expense	g. **Contra Asset**
Unearned Revenues: **Liability Method**	Liabilities Overstated	Income Understated	Unearned Revenue	**j. Revenues**
Income Method	**h.Liabilities Understated**	**i. Revenues Overstated**	Revenue	**k. Unearned Revenues (L)**
Accrued Expenses	**l. Liabilities Understated**	Expenses Understated	**m. Expense**	**n. Payable**
Accrued Revenue	Asset Understated	Income Understated	**o. Receivable**	**p. Revenues**

Activity 6: Bookkeeper in Action

A.1Asset Method- Prepaide Rent

Rent Expense -120,000

Prepaid Rent Expense-120,000

To record the two months expense portion of the prepayment for rent (November to December 2019)

A.2. Expense Method

a. Prepaid Rent Expense PHP 240,000

Rent Expense PHP 240,000

To record the asset or unused portion of prepaid rent (January to April 2020)

B.Expense Method: Supplies

Office Supplies – 27,000

Office Supplies Expense- 27,000

To record the **asset portion** of the supplies as of December 31,2019

Asset Method: Supplies

Office Supplies Expense- 36,000

Office Supplies – 36,000

To record the **expense/ used portion** of the supplies as of December 31,2019

C. Depreciation Expense-Furniture 75,000

Accumulated Depreciation- 75,000

expense- Furniture

To record the depreciation expense for furniture as of December 31,2019

D..Salaries Expense 105,000

Salaries Payable 105,000

To record accrued salaries as of December 31,2019

Activity 2: Decode

1. Accrual Basis
2. Cash Basis
3. Deferral
4. Prepaid expense
5. Unearned Revenue
6. Depreciation

Activity 3 Analogy

1. a Prepaid Expense

2.c. Accrual Basis

3. a. Accrued Revenue

4. b. Report Income portion

5 c. Liability Method

6.d. Expense method

7.a Income Method

8. a Accumulated Depreciation

9.b. expense paid in advance

10.d. Depreciation

Activity 5 False Concepts

1 The adjusting entries are made at the **start of the accounting period**. **Answer: At the end of the accounting period**

2. Electric bills and salaries are examples of **deferred payment** . **Answer: Accrued expens**e

3. An accountant can **used income method** when you want to report in the financial statement the **expense portion** of the advance revenue collection. **Answer: Liability method when you want to report the income portion**

Additional Activities:

Activity 7

a. Deferred Revenue
b. Deferred Expense
c. Deferred Revenue
d. Accrued Revenues
e. Accrued Expense
f. Accrued Revenues
g. Deferred Expense
h. Accrued Expense

a. Accrued Expense
b. Deferred Expense
c. Accrued Revenue
d. Deferred Revenue

PHP 360,000-120,000=240,000

PHP 240,000 unused portion of prepaid Rent

B. Referred to the Unadjusted Trial Balance for Office Supplies so you can determine how much is the **used part or portion of office Supplies**

Used office Supplies	**PHP 36,000**
Unused Office Supplies	**PHP 27,000**
Trial Balance Office Supplies	**PHP 63,000**

C. No computation just presents the adjusting entry for Depreciation.

D. No computation just records the adjusting entry for accrued salaries as of December 31, 2019

E.Computation of Interest Payable

Notes Payable	900,000.00
Interest	0.24
Interest Payable in 12 mos	**216,000.00**
(P/216,0000 /12 mos)	
Interest Payable per Month	**18,000.00**
Oct 1- December 2019 3 mos Payable	**54,000.00**
as of December 31,2019	
(P/18000 * 3 mos)	

Assessment # 1

1.d

2.b

3.c

4. b

5. c

6. b

7. d

8.d

9. d

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